

As wealth management practitioners and investors, our primary focus will be BFMI, the study of individual investor behavior. Specifically, we want to identify relevant psychological biases and investigate their influence on asset allocation decisions so that we can manage the effects of those biases on the investment process.

Each of the two subtopics of behavioral finance corresponds to a distinct set of issues within the standard finance versus behavioral finance discussion. With regard to BFMA, the debate asks: Are markets “efficient,” or are they subject to behavioral effects? With regard to BFMI, the debate asks: Are individual investors perfectly rational, or can cognitive and emotional errors impact their financial decisions? These questions are examined in the next section of this chapter; but to set the stage for the discussion, it is critical to understand that much of economic and financial theory is based on the notion that individuals act rationally and consider all available information in the decision-making process. In academic studies, researchers have documented abundant evidence of irrational behavior and repeated errors in judgment by adult human subjects.

Finally, one last thought before moving on. It should be noted that there is an entire body of information available on what the popular press has termed the *psychology of money*. This subject involves individuals’ relationship with money—how they spend it, how they feel about it, and how they use it. There are many useful books in this area; however, this book will not focus on these topics.

STANDARD FINANCE VERSUS BEHAVIORAL FINANCE

This section reviews two basic concepts in standard finance that behavioral finance disputes: rational markets and the rational economic man. It also covers the basis on which behavioral finance proponents challenge each tenet and discusses some evidence that has emerged in favor of the behavioral approach.

Overview

On Monday, October 18, 2004, a significant but mostly unnoticed article appeared in the *Wall Street Journal*. Eugene Fama, one of the pillars of the efficient market school of financial thought, was cited admitting that stock prices could become “somewhat irrational.”⁸ Imagine a renowned and rabid Boston Red Sox fan proposing that Fenway Park be renamed Yogi Berra Stadium (after the colorful New York Yankees catcher), and you may begin to grasp the gravity of Fama’s concession. The development raised eyebrows